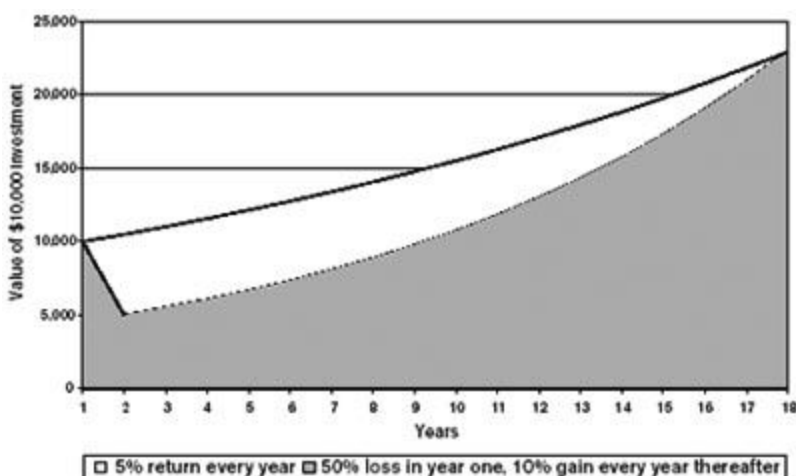


the bear market that inevitably follows. (Being “right” makes speculators even more eager to take extra risk, as their confidence catches fire.) And once you lose big money, you then have to gamble even harder just to get back to where you were, like a racetrack or casino gambler who desperately doubles up after every bad bet. Unless you are phenomenally lucky, that’s a recipe for disaster. No wonder, when he was asked to sum up everything he had learned in his long career about how to get rich, the legendary financier J. K. Klingenstein of Wertheim & Co. answered simply: “Don’t lose.”¹ This graph shows what he meant:

FIGURE 20-1

The Cost of Loss



Imagine that you find a stock that you think can grow at 10% a year even if the market only grows 5% annually. Unfortunately, you are so enthusiastic that you pay too high a price, and the stock loses 50% of its value the first year. Even if the stock then generates double the market’s return, it will take you more than 16 years to overtake the market—simply because you paid too much, and lost too much, at the outset.

Losing *some* money is an inevitable part of investing, and there’s nothing you can do to prevent it. But, to be an intelligent investor, you must take responsibility for ensuring that you never lose *most or all* of your money. The Hindu goddess of wealth, Lakshmi, is often portrayed standing